



CLOUDFLARE®

February 18th, 2026

Ticker: NET

Current Price: \$191.58

Probability Weighted Implied Upside: 26.6%



Verify you are human



CLOUDFLARE

[Privacy](#) • [Terms](#)

Agenda

- I. Tech Market Backdrop
- II. Company Overview
- III. Industry Overview
- IV. Investment Thesis
- V. Valuation
- VI. Risks & Mitigants

Tech Market Backdrop

Tech Market Backdrop

Major Drawdown in Tech

- AI reduces reliance on seat based software pricing
- Companies increasingly build their own AI tools
- Investors concerns around near term AI ROI
- Value may shift toward infrastructure companies and the backbone which software sits on
- Shift from human internet to agent traffic

Cloudflare Positioned as AI Infrastructure

- Provides core necessary internet infrastructure (security, CDN, edge compute)
- AI adoption increases machine traffic and cybersecurity demand
- Usage based model benefits from traffic growth not seats like Adobe, Salesforce, or Figma
- Deep network integration creates lots of switching costs

Key Players & Segments



Company Overview

Company Overview

Background

- Originally founded in 2009, Cloudflare is a cloud services provider and web infrastructure company that acts as an intermediary between a user and a website's hosting server
- Cloudflare processes over 20% of all internet traffic and stops 2.5mm cyber attacks / second

Key Metrics

38%

of the Fortune 500 are
Paying Customers as of
December 31, 2025

332K+

Paying Customers as of
Q4 2025

75%

GAAP Gross Margin in FY
2025

38%+

Revenue CAGR FY20-
FY25

Edge Network

- The edge networking is a group of 330 data centers around the world that work together to process all the traffic going through Cloudflare websites
 - 95% of the world's internet-connected population is within 50 milliseconds of a Cloudflare data center
- Every center is connected, if one goes down the next closest center can take on the load → basically guarantees that their services will always be working



Product Breakdown

Act 1 (Website & Application Services)

- Protects and accelerates public websites, apps, and APIs by blocking cyberattacks, filtering bots, and caching content globally so sites stay fast and online.

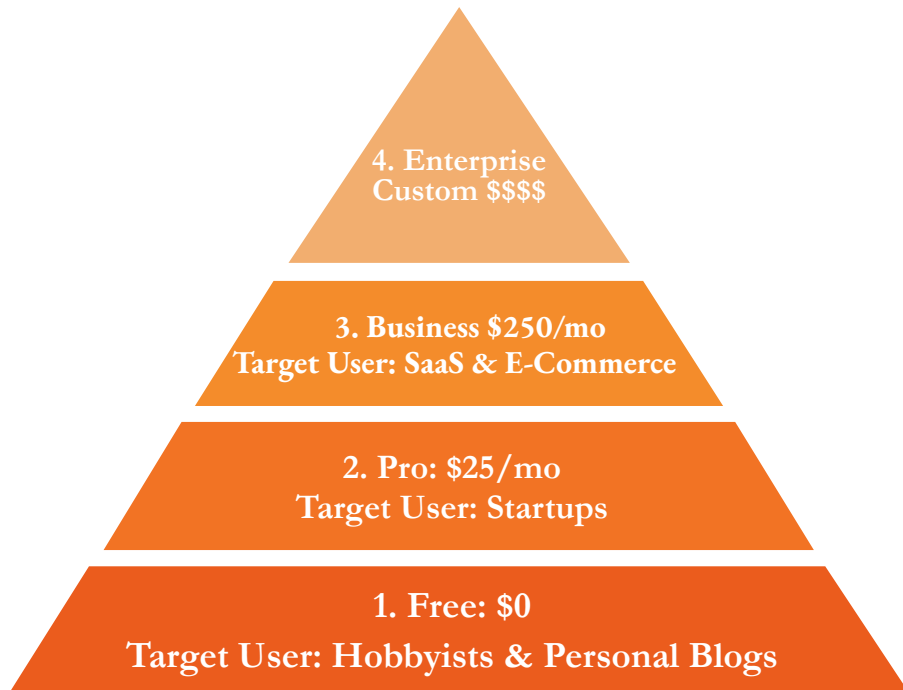
Act 2 (SASE / ZERO Trust Platform)

- Secures how employees access internal company systems by replacing VPNs with identity-based, cloud-delivered security that verifies every user and device before granting limited access.

Act 3 (Developer Based Solutions)

- Allows developers to build, run, store, and now power AI applications directly on Cloudflare's global edge network for faster performance and lower latency.

Product Tiers



Industry Overview

Industry Overview

Cloud Security & Edge Networking

Provides the infrastructure layer that:

- Secures internet traffic from cyber threats
- Routes and optimizes global data flows
- Enables applications to run closer to users (“edge computing”)
- Acts as the security and performance layer of the internet

Growth Drivers

- Explosion in internet traffic and digital services
- Rising frequency and sophistication of cyber attacks
- Cloud adoption increasing demand for secure networking
- Shift toward real-time, low-latency applications

Market Size & Growth



Edge computing market projected to exceed **\$250B** by 2030

Competitive Landscape

Legacy IT Services



Slower growth,
limited platform
integration

Traditional Cybersecurity



Strong security, but
limited networking
capabilities

Edge Security



Integrated security +
networking models

Industry Tailwinds

Rising Cybersecurity Threats

- Growth in bots, DDoS attacks, and API abuse
- Cybercrime increasingly automated and AI-driven
- Expanding attack surface from cloud, remote work, and SaaS adoption
- Enterprises shifting toward real-time, proactive network protection

Growth of Machine-Driven Internet Traffic

- AI agents and automation generating massive traffic
- APIs becoming core digital infrastructure
- Rising need for instant filtering, routing, and edge security
- Shift from human browsing to automated API calls

Vendor Consolidation (“Platform Shift”)

- Companies reducing number of security vendors to reduce security gaps
- Demand for integrated security + networking solutions in one platform
- Platform consolidation lowers costs, latency, and operational complexity

Investment Thesis

Investment Thesis Overview

Cloudflare is transitioning from a premium CDN/security player to mission critical infrastructure for the internet, with significantly higher revenue visibility than comps and a strengthening cash flow profile through an improving enterprise mix. We believe we have a free call option on the application interface/developer platform as internet traffic shifts toward automated agents and machine-to-machine activity (not necessary to achieve our base case).

1

Agentic AI drives traffic and creates flywheel

2

Enterprise demand and cloud deals accelerating

3

Profitability inflecting with path to stronger cash generation

Thesis 1: Agentic Internet drives Traffic and creates Flywheel

AI Makes the Internet Dramatically Busier

Future Monetization layer for AI access

Falling API/token costs

Number of AI agents increase exponentially



Surge in machine-to-machine traffic, automated requests, routing, and security needs



Cloudflare monetizes traffic volume; cheaper AI leads to increased usage



Increased operating leverage enables margin expansion

AI enables “vibe-coded” apps/sites



More APIs, endpoints, and lightweight web apps launched



Developers adopt edge infrastructure (Workers / developer platform)



Cloudflare expands developer ecosystem - long-term market share gains

Thesis 2: Enterprise Demand is Accelerating

Cloudflare is transitioning from a “high-beta” growth company to a more durable enterprise company, which can be seen through massive RPO expansion and record ACV - which the market undervalues

Transition to Enterprise

- Customers are switching from single solutions to an integrated stack, well positioning Cloudflare
- Growing mix of \$100K+ enterprise customers increases contract size and revenue durability
- Developer program funnels future enterprise customers

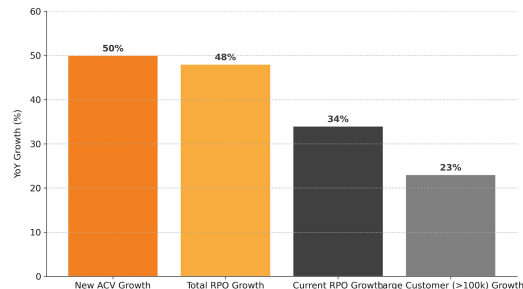
Key KPIs to Track

Metric	Strategic Signal	Target Trend
cRPO % Rev	Near-term "Revenue Floor"	↑ Stable
DBNRR	Expansion Health	>120%
Large Cust. Mix	Consolidation Success	↑ Mix Shift

The Proof of Re-Acceleration

- RPO are leading indicators that prove this narrative is actually contractually backed up
- Total RPO grew 48% YoY, significantly outpacing revenue growth
 - Current RPO gre 34% YoY, providing high visibility into the NTM of revenue
- Investors view Cloudflare’s growth as fragile, but the RPO surge suggests the revenue base is becoming more durable and contracted

Cloudflare Key Enterprise Growth Metrics (YoY %)



Thesis 3: Path to Profitability and Cash Flow Expansion

Clear path to Cash Flow Expansion

- Recurring, usage-based model with profitability and quality improving as scale increases
 - More websites using Cloudflare → more attacks observed → smarter security → better protection → attracts more websites
- Revenue increasingly driven by large enterprise customers, supporting long-term durability
- Accelerating revenue and decelerating SG&A boosts cash flow

Market Context

- Equity markets are rewarding tech stocks that show growth with improving cash generation, not AI capex-heavy “growth at any cost” models

Clear Cash Flow Inflection

- FY25 operating cash flow: \$603M (+59% YoY)
- FY25 free cash flow: \$261M (+56% YoY)
- FCF margin expanded to 12% (vs. 10% in FY24)
- Cloudflare remains in a growth investment phase, but **accelerating FCF** signals a transition toward **durable profitability** and eventual GAAP earnings

Takeaway: As Cloudflare scales, improving cash generation supports a valuation re-rating toward durable internet infrastructure rather than a volatile growth SaaS multiple.

Thesis: Super-Bull

Potential to take Hyper Scalers Market Share

- As AI demand scales exponentially
 - Processing every micro-task in a Hyperscale data center is becoming economically unsustainable and constrained by physical capacity
- Cloudflare has deployed NVIDIA GPUs for AI processing in nearly every data center in its network
 - Because of its edge network it can provide the sub-50ms response times required for the next future of AI.
- As of now they can only handle simple tasks but as compute becomes more efficient Cloudflare can leverage their Edge Network to capitalize on the increase in demand for data processing

Future Monetization layer for AI access

- Currently, site owners can either "Block" or "Allow" AI crawlers
- Cloudflare is developing a solution to enable site owners to set pricing and rules for AI access
- Content creators will be able to charge these Agentic crawlers to take information from their websites
 - Cloudflare's network touches ~20% of global internet traffic
- Cloudflare is uniquely positioned to become the intermediary layer where agents request, verify, and pay for data access across the web



Valuation

Reverse DCF

Current Valuation			
Ticker	NET	WACC	10.8%
Current Share Price	\$191.58	FCF Exit Multiple	30.0x
FDSO	377	2025A Revenue	2,168
Current Market Cap	\$72,226	2025A FCF Margin	12.0%
(+) Debt	3265	FCF Margin Expansion p.a.	3.0%
(-) Cash	411		
Current EV	\$71,380		

Implied Revenue Growth to Justify Current EV				
Forecast Horizon	Implied Revenue CAGR	Terminal Year Revenue (\$)	Terminal Year FCF (\$)	Terminal Year FCF Margin
5 Years (2026E-2)	45.0%	13888	3750	0.27
7 Years (2026E-2)	30.2%	13715	4526	0.33
10 Years (2026E-2)	20.7%	14255	5987	0.42

5 Year Forecast						
Implied CAGR	44.2%					
	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	\$2,168	\$3,126	\$4,507	\$6,438	\$9,368	\$13,507
% growth		44.2%	44.2%	44.2%	44.2%	44.2%
FCF Margin	12.0%	15.0%	18.0%	21.0%	24.0%	27.0%
FCF	260	469	811	1,364	2,248	3,647
Discount Period		1.00	2.00	3.00	4.00	5.00
Discount Factor		0.90	0.82	0.74	0.66	0.60
PV of FCF		423	661	1,004	1,493	2,187
Sum of PV of FCF		5,769				
Terminal Value		109,403				
PV of Terminal Value		65,605				
Implied EV		71,374				
vs Current EV		(0.0%)				

Summary

- 5 year - implied rev growth CAGR of 44%
- 7 years - implied rev growth CAGR of 28%
- 10 years - implied rev growth CAGR of 20%

Scenario Analysis

Case	Description	Implied Share Price	% Return	Probability
Bear	Enterprise demand moderates amid longer deal cycles and macro headwinds, slowing revenue and RPO as backlog converts more gradually. DBNRR stabilizes around ~115%, cross-sell and upsell weaken due to limited platform consolidation and softer pricing power, and Act 3 adds no meaningful lift. Implied share price: \$71, reflecting a high-growth premium unwind.	\$70.28	(63.3%)	10%
Base	Revenue growth modestly exceeds consensus (34% in FY26 vs. 29% guidance) driven by enterprise momentum, mix shift, and Workers adoption. Large customer growth reaccelerates as RPO converts, DBNRR trends toward ~120%, and operating margins expand. Cloudflare increasingly becomes a "one integrated network" platform with stronger cross-sell and upsell, while Act 3 provides incremental but not transformational upside.	\$220.25	15.0%	50%
Bull	Enterprise mix accelerates beyond historical trends, driving stronger cross-sell and upsell, higher ACV, and DBNRR toward ~130%. Workers emerges as a leading edge compute platform, while a channel-first strategy lowers CAC. RPO outpaces revenue growth for several years as margins expand, and falling compute costs fuel faster AI traffic growth and improved pricing power.	\$239.30	24.9%	30%
Super-Bull	Act 3 becomes a transformational growth engine, with Workers AI, edge inference, and agentic workloads driving massive adoption and reshaping ARPA and unit economics through usage-based compute. Cloudflare becomes core infrastructure for the AI-driven internet, taking share from hyperscalers in select edge use cases and intermediating a marketplace where content creators charge AI bots to crawl sites.	\$535.89	179.7%	10%
Expected Return		\$242.53	26.6%	100%

Revenue Build

	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	
Large Customers (>\$100K)														'25A - '32E CAGR
Beg. Customers	550	828	1,416	2,042	2,756	3,497	4,298	5,373	6,662	8,194	9,915	11,799	13,805	
Net Adds	278	588	626	714	741	801	1,075	1,289	1,532	1,721	1,884	2,006	2,071	
End Customers	828	1,416	2,042	2,756	3,497	4,298	5,373	6,662	8,194	9,915	11,799	13,805	15,875	16.7%
Customer Growth Rate		71.0%	44.2%	35.0%	26.9%	22.9%	25.0%	24.0%	23.0%	21.0%	19.0%	17.0%	15.0%	
Avg Customers	689	1,122	1,729	2,399	3,127	3,898	4,835	6,017	7,428	9,055	10,857	12,802	14,840	
ARPA (\$)	287,373	314,617	341,816	348,062	368,463	406,158	447,709	510,388	592,050	692,698	803,530	916,024	1,025,947	12.6%
% ARPA growth	9.5%	8.6%	1.8%	5.9%	10.2%	14.0%	16.0%	17.0%	17.0%	16.0%	14.0%	12.0%	10.0%	
Large Customer Revenue	\$198	\$353	\$591	\$835	\$1,152	\$1,583	\$2,165	\$3,071	\$4,398	\$6,272	\$8,724	\$11,727	\$15,225	32.1%
% of total revenue	45.9%	53.8%	60.6%	64.4%	69.0%	73.0%	74.6%	74.3%	74.2%	74.2%	74.3%	74.3%	74.2%	
Other Customers														
Beg. Customers	82,332	110,355	138,680	160,044	187,035	234,217	328,168	508,660	762,991	1,106,336	1,526,744	2,015,302	2,559,434	
Net Adds	28,023	28,325	21,364	26,991	47,182	93,951	180,492	254,330	343,346	420,408	488,558	544,132	563,075	
End Customers	110,355	138,680	160,044	187,035	234,217	328,168	508,660	762,991	1,106,336	1,526,744	2,015,302	2,559,434	3,122,509	29.6%
Customer Growth Rate		25.7%	15.4%	16.9%	25.2%	40.1%	55.0%	50.0%	45.0%	38.0%	32.0%	27.0%	22.0%	
Avg Customers	96,344	124,518	149,362	173,540	210,626	281,193	418,414	635,826	934,663	1,316,540	1,771,023	2,287,368	2,840,972	
ARPA (\$)	2,418	2,433	2,571	2,662	2,459	2,080	1,760	1,672	1,638	1,655	1,704	1,773	1,861	0.8%
% ARPA growth		0.6%	5.7%	3.6%	(7.6%)	(15.4%)	(5.0%)	(2.0%)	1.0%	3.0%	4.0%	5.0%	5.0%	
Other Customer Revenue	\$233	\$303	\$384	\$462	\$518	\$585	\$736	\$1,063	\$1,531	\$2,179	\$3,019	\$4,055	\$5,288	32.5%
% of total revenue	54.1%	46.2%	39.4%	35.6%	31.0%	27.0%	25.4%	25.7%	25.8%	25.8%	25.7%	25.7%	25.8%	
Total Revenue														
Revenue	\$431	\$656	\$975	\$1,297	\$1,670	\$2,168	\$2,901	\$4,134	\$5,929	\$8,451	\$11,742	\$15,781	\$20,513	32.2%
% revenue		52.9%	18.6%	22.0%	28.8%	20.8%	23.8%	12.5%	12.1%	12.5%	20.0%	24.1%	20.0%	

Sensitivity Analysis

		WACC				
		9.8%	10.3%	10.8%	11.3%	11.8%
UFCF Multiple	20x	\$164.65	\$160.13	\$155.76	\$151.54	\$147.45
	25x	\$198.84	\$193.33	\$188.00	\$182.85	\$177.86
	30x	\$233.04	\$226.54	\$220.25	\$214.16	\$208.27
	35x	\$267.24	\$259.74	\$252.49	\$245.47	\$238.69
	40x	\$301.44	\$292.94	\$284.73	\$276.78	\$269.10

Risks & Mitigants

Risks & Mitigants

1

Potential network outages

Following its network outage in late 2025, Cloudflare has focused on hardening its infrastructure and expanding its global network to reduce failure risk through automated traffic rerouting

2

Commoditization of CDN/security

Cloudflare's single global network supports bundled security, networking, and compute offerings, reducing product interchangeability and insulating the company from pure CDN price commoditization

3

Shift towards localized computing

Cloudflare's edge-first, globally distributed architecture enables compute, security, and networking to run natively at the edge, positioning it to capture incremental workloads as computing decentralizes

Appendix

Operating Forecast

	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	
Operating Forecast														
Cloudflare														
	(\$ in millions)													
	'25A - '32E CAGR													
Revenue	\$431	\$656	\$975	\$1,297	\$1,670	\$2,168	\$2,901	\$4,134	\$5,929	\$8,451	\$11,742	\$15,781	\$20,513	37.9%
% Growth		52.3%	48.6%	33.0%	28.8%	29.8%	33.8%	42.5%	43.4%	42.5%	39.0%	34.4%	30.0%	
Cost of Revenue	52	82	134	176	258	554	696	992	1,364	1,944	2,583	3,472	4,513	34.9%
Gross Profit	379	575	841	1,121	1,412	1,614	2,205	3,142	4,565	6,507	9,159	12,309	16,000	38.8%
% margin	87.9%	87.5%	86.2%	86.4%	84.6%	74.4%	76.0%	76.0%	77.0%	77.0%	78.0%	78.0%	78.0%	
S&M	218	328	466	599	746	921	1,015	1,323	1,719	2,282	3,053	3,945	4,923	27.1%
% revenue	50.5%	50.0%	47.8%	46.2%	44.7%	42.5%	35.0%	32.0%	29.0%	27.0%	26.0%	25.0%	24.0%	
R&D	127	189	298	358	421	512	609	827	1,127	1,521	2,114	2,683	3,487	31.5%
% revenue	29.5%	28.9%	30.6%	27.6%	25.2%	23.6%	21.0%	20.0%	19.0%	18.0%	18.0%	17.0%	17.0%	
G&A	92	120	180	218	279	389	377	496	652	845	1,057	1,263	1,641	22.8%
% revenue	21.3%	18.2%	18.4%	16.8%	16.7%	18.0%	13.0%	12.0%	11.0%	10.0%	9.0%	8.0%	8.0%	
D&A	88	142	152	202	210	298	348	496	652	930	1,174	1,578	2,051	31.7%
% revenue	20.5%	21.6%	15.6%	15.6%	12.5%	13.8%	12.0%	12.0%	11.0%	11.0%	10.0%	10.0%	10.0%	
CapEx	75	108	163	135	214	343	377	496	652	930	1,174	1,578	1,846	27.2%
% revenue	17.4%	16.4%	16.8%	10.4%	12.8%	15.8%	13.0%	12.0%	11.0%	11.0%	10.0%	10.0%	9.0%	
NWC	(5)	(89)	(64)	(168)	(231)	(370)	(517)	(739)	(1,008)	(1,336)	(1,698)	(2,102)	(2,528)	31.6%
Change in NWC		(84)	25	(104)	(63)	(139)	(147)	(222)	(269)	(328)	(362)	(404)	(426)	
% change of revenue		(37.4%)	8.0%	(32.4%)	(17.0%)	(27.8%)	(20.0%)	(18.0%)	(15.0%)	(13.0%)	(11.0%)	(10.0%)	(9.0%)	

Summary P&L

	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E	
Summary P&L														
Cloudflare														(\$ in millions)
														'25A - '32E CAGR
Revenue	\$431	\$656	\$975	\$1,297	\$1,670	\$2,168	\$2,901	\$4,134	\$5,929	\$8,451	\$11,742	\$15,781	\$20,513	37.9%
% growth		52.2%	48.6%	33.0%	28.8%	29.8%	33.8%	42.5%	43.4%	42.5%	39.0%	34.4%	30.0%	
Cost of Revenue	52	81	134	176	258	554	696	992	1,364	1,944	2,583	3,472	4,513	34.9%
Gross Profit	379	575	841	1,121	1,412	1,614	2,205	3,142	4,565	6,507	9,159	12,309	16,000	38.8%
% margin	87.9%	87.6%	86.2%	86.4%	84.5%	74.4%	76.0%	76.0%	77.0%	77.0%	78.0%	78.0%	78.0%	
Operating Expenses:														
S&M	218	328	466	599	746	921	1,015	1,323	1,719	2,282	3,053	3,945	4,923	27.1%
% revenue	50.6%	50.0%	47.8%	46.2%	44.7%	42.5%	35.0%	32.0%	29.0%	27.0%	26.0%	25.0%	24.0%	
R&D	127	189	298	358	421	512	609	827	1,127	1,521	2,114	2,683	3,487	31.5%
% revenue	29.5%	28.9%	30.6%	27.6%	25.2%	23.6%	21.0%	20.0%	19.0%	18.0%	18.0%	17.0%	17.0%	
G&A	92	120	180	218	279	389	377	496	652	845	1,057	1,263	1,641	22.8%
% revenue	21.3%	18.2%	18.4%	16.8%	16.7%	18.0%	13.0%	12.0%	11.0%	10.0%	9.0%	8.0%	8.0%	
Total Operating Expenses	437	637	944	1,175	1,446	1,823	2,002	2,646	3,498	4,648	6,224	7,891	10,051	27.6%
EBIT	(58)	(62)	(103)	(54)	(34)	(209)	203	496	1,067	1,859	2,936	4,419	5,949	(261.3%)
% margin	(13.4%)	(9.5%)	(10.6%)	(4.2%)	(2.0%)	(9.6%)	7.0%	12.0%	18.0%	22.0%	25.0%	28.0%	29.0%	
Taxes	0	0	0	0	0	0	49	119	256	446	705	1,061	1,428	
% tax rate	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	
NOPAT	(58)	(62)	(103)	(54)	(34)	(209)	154	377	811	1,413	2,231	3,358	4,521	(255.1%)
(+) Depreciation	88	142	152	202	210	298	348	496	652	930	1,174	1,578	2,051	31.7%
% revenue	20.5%	21.7%	15.6%	15.6%	12.5%	13.8%	12.0%	12.0%	11.0%	11.0%	10.0%	10.0%	10.0%	
(-) Capital Expenditures	(75)	(108)	(163)	(135)	(214)	(343)	(377)	(496)	(652)	(930)	(1,174)	(1,578)	(1,846)	27.2%
% revenue	(17.4%)	(16.4%)	(16.8%)	(10.4%)	(12.8%)	(15.8%)	(13.0%)	(12.0%)	(11.0%)	(11.0%)	(10.0%)	(10.0%)	(9.0%)	
(-) Increases in NWC	84	(25)	104	63	139	147	222	269	328	362	404	426	0	
% increase in revenue	19.5%	(3.9%)	10.7%	4.9%	8.3%	6.8%	7.7%	6.5%	5.5%	4.3%	3.4%	2.7%	0.0%	
Unlevered Free Cash Flow	40	(54)	(10)	76	101	(107)	347	646	1,139	1,775	2,635	3,784	4,726	(271.9%)
% margin	9.2%	(8.2%)	(1.0%)	5.8%	6.0%	(4.9%)	12.0%	15.6%	19.2%	21.0%	22.4%	24.0%	23.0%	

Revenue Build Assumptions

	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Large Customer Growth - Active Case							25.0%	24.0%	23.0%	21.0%	19.0%	17.0%	15.0%
Bear							22.0%	20.0%	18.0%	17.0%	15.0%	14.0%	13.0%
Base		71.0%	44.2%	35.0%	26.9%	22.9%	25.0%	24.0%	23.0%	21.0%	19.0%	17.0%	15.0%
Bull							27.0%	26.0%	25.0%	23.0%	20.0%	18.0%	16.0%
Super-Bull							32.0%	32.0%	30.0%	28.0%	25.0%	22.0%	20.0%
Large Customer APRA Growth - Active Case							14.0%	16.0%	17.0%	16.0%	14.0%	12.0%	10.0%
Bear							10.0%	10.0%	9.0%	8.0%	7.0%	6.0%	5.0%
Base		9.5%	8.6%	1.8%	5.9%	10.2%	14.0%	16.0%	17.0%	16.0%	14.0%	12.0%	10.0%
Bull							14.0%	16.0%	18.0%	17.0%	15.0%	14.0%	13.0%
Super-Bull							18.0%	22.0%	25.0%	25.0%	22.0%	20.0%	17.0%
Other Customer Growth - Active Case							55.0%	50.0%	45.0%	38.0%	32.0%	27.0%	22.0%
Bear							40.0%	35.0%	30.0%	25.0%	20.0%	17.0%	14.0%
Base		25.7%	15.4%	16.9%	25.2%	40.1%	55.0%	50.0%	45.0%	38.0%	32.0%	27.0%	22.0%
Bull							60.0%	58.0%	52.0%	45.0%	38.0%	32.0%	26.0%
Super-Bull							75.0%	80.0%	85.0%	75.0%	65.0%	55.0%	40.0%
Other Customer APRA Growth - Active Case							(5.0%)	(2.0%)	1.0%	3.0%	4.0%	5.0%	5.0%
Bear							(8.0%)	(7.0%)	(6.0%)	(5.0%)	(4.0%)	(3.0%)	(3.0%)
Base		0.6%	5.7%	3.6%	(7.6%)	(15.4%)	(5.0%)	(2.0%)	1.0%	3.0%	4.0%	5.0%	5.0%
Bull							(5.0%)	(3.0%)	(1.0%)	1.0%	3.0%	4.0%	5.0%
Super-Bull							(5.0%)	(2.0%)	2.0%	5.0%	7.0%	8.0%	8.0%

Operating Forecast Assumptions

	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Gross Margin - Active Case							76.0%	76.0%	77.0%	77.0%	78.0%	78.0%	78.0%
Bear							75.0%	75.0%	75.0%	75.0%	74.0%	74.0%	74.0%
Base	87.9%	87.5%	86.2%	86.4%	84.6%	74.4%	76.0%	76.0%	77.0%	77.0%	78.0%	78.0%	78.0%
Bull							76.0%	76.0%	77.0%	77.0%	78.0%	78.0%	78.0%
Super-Bull							75.0%	75.0%	76.0%	76.0%	76.0%	77.0%	77.0%
S&M % of Revenue - Active Case							35.0%	32.0%	29.0%	27.0%	26.0%	25.0%	24.0%
Bear							36.0%	34.0%	32.0%	30.0%	29.0%	28.0%	27.0%
Base	50.5%	50.0%	47.8%	46.2%	44.7%	42.5%	35.0%	32.0%	29.0%	27.0%	26.0%	25.0%	24.0%
Bull							34.0%	31.0%	29.0%	27.0%	26.0%	25.0%	25.0%
Super-Bull							32.0%	29.0%	27.0%	25.0%	24.0%	23.0%	23.0%
R&D % of Revenue - Active Case							21.0%	20.0%	19.0%	18.0%	18.0%	17.0%	17.0%
Bear							22.0%	21.0%	21.0%	20.0%	20.0%	19.0%	19.0%
Base	29.5%	28.9%	30.6%	27.6%	25.2%	23.6%	21.0%	20.0%	19.0%	18.0%	18.0%	17.0%	17.0%
Bull							21.0%	20.0%	20.0%	19.0%	19.0%	18.0%	18.0%
Super-Bull							21.0%	20.0%	19.0%	19.0%	18.0%	18.0%	17.0%
G&A % of Revenue - Active Case							13.0%	12.0%	11.0%	10.0%	9.0%	8.0%	8.0%
Bear							14.0%	13.0%	13.0%	12.0%	11.0%	11.0%	10.0%
Base	21.3%	18.2%	18.4%	16.8%	16.7%	18.0%	13.0%	12.0%	11.0%	10.0%	9.0%	8.0%	8.0%
Bull							13.0%	12.0%	11.0%	10.0%	9.0%	8.0%	8.0%
Super-Bull							12.0%	11.0%	10.0%	9.0%	8.0%	8.0%	7.0%
D&A % of Revenue - Active Case							12.0%	12.0%	11.0%	11.0%	10.0%	10.0%	10.0%
Bear							13.0%	13.0%	12.0%	12.0%	12.0%	11.0%	11.0%
Base	20.5%	21.6%	15.6%	15.6%	12.5%	13.8%	12.0%	12.0%	11.0%	11.0%	10.0%	10.0%	10.0%
Bull							12.0%	12.0%	11.0%	11.0%	10.0%	10.0%	10.0%
Super-Bull							13.0%	12.0%	12.0%	11.0%	11.0%	10.0%	10.0%
CapEx % of Revenue - Active Case							13.0%	12.0%	11.0%	11.0%	10.0%	10.0%	9.0%
Bear							14.0%	14.0%	13.0%	13.0%	12.0%	12.0%	11.0%
Base	17.4%	16.4%	16.8%	10.4%	12.8%	15.8%	13.0%	12.0%	11.0%	11.0%	10.0%	10.0%	9.0%
Bull							13.0%	12.0%	11.0%	11.0%	10.0%	9.0%	9.0%
Super-Bull							15.0%	14.0%	13.0%	12.0%	12.0%	11.0%	10.0%
NwC % change of Revenue - Active Case							(20.0%)	(18.0%)	(15.0%)	(13.0%)	(11.0%)	(10.0%)	(9.0%)
Bear							(15.0%)	(13.0%)	(11.0%)	(10.0%)	(9.0%)	(8.0%)	(7.0%)
Base		(37.4%)	8.0%	(32.4%)	(17.0%)	(27.8%)	(20.0%)	(18.0%)	(15.0%)	(13.0%)	(11.0%)	(10.0%)	(9.0%)
Bull							(20.0%)	(18.0%)	(15.0%)	(13.0%)	(11.0%)	(9.0%)	(8.0%)
Super-Bull							(25.0%)	(22.0%)	(18.0%)	(15.0%)	(12.0%)	(10.0%)	(9.0%)

DCF Output

	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Unlevered Free Cash Flow	\$347	\$646	\$1,139	\$1,775	\$2,635	\$3,784	\$4,726
Discount Period (Mid-Year)	0.50	1.50	2.50	3.50	4.50	5.50	6.50
Discount Factor (Mid-Year)	0.95	0.86	0.77	0.70	0.63	0.57	0.51
PV of UFCF	330	554	882	1,241	1,663	2,156	2,431
Sum of PV of Unlevered FCF	9,257						

Exit Multiple Method (UFCF)

2032E UFCF	4,726
EV/FCF	30.0x
Terminal Value	141,785
PV of Terminal Value	72,930
Implied Enterprise Value	82,188
(-) Debt	(3,265)
(+) Cash	4,111
Implied Equity Value	83,033
Implied Share Price	\$220.25
Implied Upside	15.0%

WACC

WACC	
After-tax Cost of Debt	4.2%
Pre-tax CoD	5.5%
Tax Rate	24.0%
Cost of Equity	11.1%
Risk Free Rate	4.1%
Equity Risk Premium	4.5%
Beta	1.57
WACC	10.8%
CoD	4.2%
% Debt	4.3%
CoE	11.1%
% Equity	95.7%

Comps

Company	Ticker	Share Price	Mkt Cap	EV	FDSO	FY25 Revenue	FY25 EBIT	FY25 EBITDA	LTM EV/Revenue	LTM EV/EBIT	LTM EV/EBITDA	Cash	Debt	NCI	Levered Beta	Tax Rate	Unlevered Beta
Okta	OKTA	\$87.26	15,465	13,425	186	2,840	122	209	4.7x	110.0x	64.2x	2,463	423	0	1.33	26%	1.30
Zscaler	ZS	\$177.72	28,341	26,857	170	2,833	(122)	(68)	9.5x	(220.0x)	(396.7x)	3,321	1,700	0	1.51	21%	1.44
Datadog	DDOG	\$125.20	44,143	68,334	372	3,427	(43)	13	19.9x	(1596.6x)	5256.5x	4,475	983	0	1.38	21%	1.36
CrowdStrike	CRWD	\$429.64	108,312	108,367	262	4,565	(201)	(94)	23.7x	(538.9x)	(1155.3x)	4,801	745	43	1.67	21%	1.66
DigitalOcean	DOCN	\$68.16	6,236	7,614	114	864	153	269	8.8x	49.8x	28.3x	237	1,294	0	2.05	16%	1.75
CoreWeave	CRWW	\$96.04	50,061	66,929	596	4,307	185	2,184	15.5x	361.2x	30.6x	2,539	16,622	0	2.51	20%	1.98
Snowflake	SNOW	\$182.29	62,380	60,662	393	4,387	(1,376)	(1,234)	13.8x	(44.1x)	(49.2x)	3,353	2,278	0	1.64	23%	1.60
Dynatrace	DT	\$37.20	11,095	9,992	310	1,932	251	270	5.2x	39.8x	37.0x	1,188	0	0	1.07	26%	1.07
CloudFlare	NET	\$191.34	68,917	104,371	377	2,168	(284)	(11)	48.1x	(367.4x)	(9236.4x)	4,111	3,265	0	1.57	24%	1.52
Metrics (excl. NET)																	
Min			6,236	7,614	114	864	(1,376)	(1,234)	4.7x	(1596.6x)	(1155.3x)	237	0	0.00	1.07		1.07
25th Percentile			14,373	12,567	182	2,608	(142)	(74)	7.9x	(299.7x)	(136.1x)	2,144	665	0.00	1.37		1.34
Median			36,242	43,759	286	3,134	40	111	11.7x	(2.1x)	29.5x	2,930	1,139	0.00	1.58		1.52
75th Percentile			53,141	67,280	378	4,327	161	269	16.6x	64.9x	43.8x	3,634	1,844	0.00	1.77		1.68
Max			108,312	108,367	596	4,565	251	2,184	23.7x	361.2x	5256.5x	4,801	16,622	42.50	2.51		1.98